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CCS (Pension) Rules, 2021

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CCS (Pension) Rules, 2021

Chapter I: Preliminary

Rule 1. Short Title and Commencement

These rules may be called the **CCS (Pension) Rules, 2021**. These rules come into force from the date **20th December, 2021**.

Rule 2. Application

(1) These pension rules apply to Government Servants appointed on or before **31st December, 2003**, including:

- Civilian Government Servants in the Defense Services, appointed substantively to civil services and posts borne on pensionable establishments.
- A government servant who was put on induction training on or before **31.12.2003** followed by appointment on a regular basis after **31.12.2003**.
- A person whose temporary status was conferred on or before **31.12.2003** and appointed in Government service.

(2) Status of Appointments after **31.12.2003**:

- **Option Exercised under Rule 10 of CCS (Implementation of NPS) Rules, 2021:** On death or discharge from service on the ground of invalidation, the benefits of Invalid Pension under **Rule 39** and Family Pension under **Rule 50** shall be payable to the Government Servant or his family.
- **Option Not Exercised:** On death or discharge from service on the ground of invalidation, the benefits of **NPS-2004** shall be payable to the Government Servant or his family.

(3) These rules do **not** apply to:

- Railway Servants.
- Persons in casual and daily-rated employment.
- Persons paid from contingencies.
- Persons entitled to the benefit of the Contributory Provident Fund (CPF).

- Members of All India Services.
- Persons locally recruited for service in diplomatic, consular, or other Indian establishments in foreign countries.
- Persons employed on contract except when the contract provides otherwise.

Government of India's Orders: 1. There is no distinction between permanent and temporary employees in the application of Pension Rules. 2. Coverage under **CCS (Pension) Rules, 2021** (in place of NPS) applies to Central Government employees whose selection for appointment was finalized before **01.01.2004** but who joined Government service on or after **01.01.2004**.

Rule 3. Definitions

In these rules, unless the context otherwise requires:

- **Account Officer:** An officer, whatever his official designation, who maintains the account of a Ministry, Department, or Office of the Central Government or Union territory and includes an Accountant-General.
- **Allottee:** A Government Servant to whom Government Accommodation has been allotted on the payment of a license fee or otherwise.
- **Average Emoluments:** The average basic pay drawn by a Government Servant during the last **10 months** of his service.
- **Bhavishya:** An online system for the sanction of retirement benefits and tracking of sanction and payment of pension by the Government servant and the authorities concerned.
- **Child:** A son or daughter of the government servant who is eligible to receive Death Gratuity or family pension.
- **Dearness Relief:** Dearness relief on pension and family pension.
- **Defense Service:** Services under the Government of India in the Ministry of Defense including the Defense Accounts Department, paid out of civil estimates of the Ministry of Defense, but not subject to the Army Act, Navy Act, and Air Force Act.

- **Emoluments:** Basic pay of the Government Servant.
- **Family Pension:** As defined under **Rule 50**.
- **Foreign Service:** Service in which a Government Servant receives his pay with the sanction of the Government from any source other than the Consolidated Fund of India.
- **Government:** The Central Government.
- **Gratuity:** Includes:
 - (i) Service Gratuity payable under **Rule 44**.
 - (ii) Retirement Gratuity/Death Gratuity payable under sub-rule (1) of **Rule 45**.
 - (iii) Residuary Gratuity payable under sub-rule (3) of **Rule 45**.
- **Head of Department:** An authority specified in Schedule I to the Delegation of Financial Powers Rules, 1978.
- **Head of Office:** A Gazetted officer declared as such under **Rule 14** of the Delegation of Financial Powers Rules, 1978.
- **Local Fund Administered by Government:** The fund administered by a body which comes under the control of the Government and over whose expenditure the Government retains complete and direct control.
- **Minor:** A person who has not completed the age of **18 years**.
- **Pension:** Includes gratuity but does **not** include dearness relief.
- **Pension Disbursement Authority:** Includes:
 - (i) Banks selected in consultation with the RBI for payment of pension to civil pensioners.
 - (ii) Post Office.
 - (iii) Treasury including Sub-Treasury.
 - (iv) Account Officer.
- **Pension Payment Order (PPO):** Includes e-Pension Payment Order.

- **Qualifying Service:** Service rendered while on duty or otherwise which shall be taken into account for the purpose of pensions and gratuities admissible under these rules.
- **Retirement Benefits:** Includes pension or service gratuity, and retirement gratuity, where admissible.
- **Service Book:** Includes service rolls, if any.

Rule 4. Government Servants Transferred from Services and Posts to which these Rules Do Not Apply

(1) If a Government servant is transferred permanently to a service or post to which these rules apply from a service or post to which these rules do not apply, he shall become subject to these rules. (2) It shall be open to him, within **6 months** of the date of issue of the order of his permanent transfer, to elect to be governed by the pension rules to which he was subject immediately before the date of his transfer. (3) The option, once exercised, shall be final.

Chapter II: General Conditions

Rule 5. Claims to Pension or Family Pension

(1) Any claim to pension or family pension shall be regulated by the provisions of these rules in force at the time when a Government servant retires, is retired, is discharged, is allowed to resign from service, or dies, as the case may be. (2) The day on which a Government servant retires, is retired voluntarily, is discharged, or is allowed to resign from service shall be treated as his **last working day**. The date of death shall also be treated as a working day. (3) If a Government servant, immediately before his retirement or death, was absent from duty on leave or otherwise or was under suspension, the day of retirement or death shall be part of such leave of absence or suspension.

Rule 6. Limitations on Number of Pensions

(1) A Government servant shall not earn two pensions in the same service or post at the same time or by the same continuous service. (2) Except for persons of the armed forces,

no Government servant shall be entitled to a separate pension or gratuity for the period of his re-employment.

Rule 7. Pension and Family Pension Subject to Future Good Conduct

(1) Future good conduct shall be an implied condition of every grant of pension and its continuance under these rules. (2) The appointing authority may, by order in writing, withhold or withdraw a pension or a part thereof, whether permanently or for a specified period, if the pensioner is convicted of a serious crime or is found guilty of **grave misconduct**. (3) Where a part of the pension is withheld or withdrawn, the amount of such pension shall not be reduced below the amount of Rs. 9,000/- (Nine thousand) per month. (4) If the authority considers that the pensioner is *prima facie* guilty of grave misconduct, he shall, before passing an order:

- Serve a notice to the pensioner specifying the misconduct. The pensioner may submit his representation against the allegation within **15 days** of the receipt of the notice or such further time not exceeding **15 days**, as may be allowed by the said authority.
- Take into consideration the representation, if any, submitted by the pensioner. (5) Where the authority competent to pass an order is the President, the **UPSC** shall be consulted before the order is passed. (6) The expression "grave misconduct" includes the communication or disclosure of any secret official code, password, sketch, plan, model, article, note, document, or information mentioned in **Section 5 of the Official Secrets Act, 1923**, obtained while holding office, so as to prejudicially affect the interests of the general public or the security of the State.

Government of India's Decisions: 1. Failure or refusal by a pensioner to pay Government dues is **not** 'misconduct'. 2. Stoppage or reduction of pension for reasons other than misconduct is not permissible.

Rule 8. Right of President to Withhold or Withdraw Pension

(1) The President reserves to himself the right of withholding a pension or gratuity, or both, either in full or in part, or withdrawing a pension in full or in part, whether permanently or for a specified period, and of ordering recovery from a pension or gratuity of the whole or part of any pecuniary loss caused to the Government.

- **Proviso:** The UPSC shall be consulted before any final orders are passed.
- **Minimum Limit:** Where a part of the pension is withheld or withdrawn, the amount of such pension shall not be reduced below Rs. 9,000/- per month.

(2) **Departmental Proceedings:**

- **Instituted while in service:** Departmental proceedings instituted while the Government Servant was in service shall continue after his retirement or during his re-employment. If instituted by an authority subordinate to the President, that authority shall submit a report recording its findings to the President.
- **Not instituted while in service:** If departmental proceedings were not instituted while the Government servant was in service (before retirement or during re-employment), they:
 - Shall **not** be instituted without the sanction of the President.
 - Shall **not** be in respect of any event which took place more than **4 years** before such institution.
 - Shall be conducted by such authority and in such place as the President may direct.

(3) **Provisional Pension:** In the case of a Government servant who has retired on attaining the age of superannuation and against whom any departmental or judicial proceedings are instituted or continued, the Accounts Officer shall authorize the **provisional pension equal to the maximum pension admissible** on the basis of qualifying service up to the date of retirement.

- The provisional pension shall be authorized from the date following the date of retirement up to the date final orders are passed by the competent authority.

- No recovery shall be made where the pension finally sanctioned is less than the provisional pension or if the pension is reduced or withheld permanently or for a specified period.

(4) Recovery of Pecuniary Loss: Where the President decides on the recovery of pecuniary loss from the pension, the recovery shall not ordinarily be made at a rate exceeding **one-third (1/3rd)** of the pension admissible on the date of retirement.

(5) Withholding of Gratuity: No gratuity shall be paid to the Government servant until the conclusion of the Departmental or judicial proceeding and the issue of final orders thereon. If proceedings are instituted under **Rule 16 of CCS (CCA) Rules, 1965** (Minor Penalty), the gratuity shall be paid to the Government Servant.

Note: Minor penalty proceedings have no effect on pension. Final orders under Rule 8 will be issued in the name of the President.

Rule 9. Commercial Employment After Retirement

(1) If a pensioner who immediately before his retirement was a member of **Central Service Group 'A'** wishes to accept any commercial employment before the expiry of **one year** from the date of his retirement, he shall obtain the previous sanction of the Government to such acceptance. **(2) Definition:** "Commercial employment" means acting as an agent under a company, co-operative society, firm, or individual engaged in trading, commercial, industrial, financial, or professional business. **(3) Representation:** Where the Government grants permission subject to conditions or refuses permission, the applicant may, within **30 days** of the receipt of the order, make a representation against any such condition or refusal.

Rule 10. Employment After Retirement Under a Government Outside India

(1) If a pensioner, who immediately before his retirement was a member of **Central Service Group 'A'**, wishes to accept any employment under any Government outside India, he shall obtain the previous permission of the Central Government for such acceptance. **(2) Penalty:** No pension shall be payable to a pensioner who accepts such an

employment without proper permission in respect of any period for which he is so employed.

Chapter III: Qualifying Service

(Rules 11 to 30)

Rule 11. Commencement of Qualifying Service

(1) Qualifying service of a Government servant shall commence from the date he takes charge of the post to which he is first appointed either substantively or in an officiating or temporary capacity. (2) The officiating or temporary service is followed without interruption by substantive appointment in the same or another service or post, shall be treated as qualifying service. (3) Service rendered before attaining the age of **18 years** shall not count, except in the cases of counting of military service for civil pension under Rule 20.

Rule 12. Conditions Subject to which Service Qualifies

(1) The service of a Government servant shall not qualify, unless his duties and pay are regulated by the Government. (2) "Service" means service under the Government and paid by that Government from the Consolidated Fund of India or a Local Fund administered by that Government. (3) **Counting of Temporary Status:** 50% of the service paid from temporary status shall count with regular service. (4) Counting of service rendered in Central Government autonomous bodies before their take-over by Central Government.

Rule 13. Service in State Governments

(1) A Government servant of a State Government, who was initially appointed in a pensionable establishment of the State Government on or before **31.12.2003** and who is permanently transferred to a service or post to which these rules apply, the continuous service rendered under the State Government in an officiating or temporary or substantive capacity shall be treated as qualifying service. (2) In the case of a Government servant belonging to a State Government who is appointed with proper permission to a service or post under the Central Government to which these rules apply after acceptance of his resignation, the **whole service** under the State Government shall be treated as

qualifying service. (3) The liability for pension and gratuity in such cases shall be borne by the Central Government and no recovery of proportionate pension shall be made from the State Government.

Rule 14. Service in Autonomous Bodies

(1) In the case of a person who was initially appointed, on or before **31.12.2003**, in an autonomous body under the Central Government or a State Government and appointed after resignation to a post or service to which these rules apply, the service rendered under the said body shall qualify subject to the following conditions, namely:

- The appointment of that Government servant in an officiating or temporary capacity in the Central Government is followed without interruption by substantive appointment.
- The Government servant is **not** drawing a separate pension from the said autonomous body for the service rendered in that body before acceptance of resignation.
- Service rendered in a PSU, including nationalized bank and financial institution, before appointment in the Central Government shall **not** count as qualifying service for the purpose of these rules.

Rule 15. Service Rendered in Temporary Status by Casual Labourers

Fifty percent (50%) of the service rendered in 'temporary status' capacity by the Government servant, who was conferred temporary status before **31.12.2003**, shall count as qualifying service.

Rule 16. Counting of Service on Probation

Service on probation against a post if followed by confirmation in the same or another post shall qualify.

Rule 17. Counting of Service as Apprentice

Service as an apprentice shall **not** qualify, except in the case of SAS apprentice in the Indian Audit and Accounts Department or the Defense Accounts Department.

Rule 18. Counting of Service on Contract

A person who is initially engaged by the Government on a contract for a specified period and is subsequently appointed on or before **31.12.2003** to the same or another post in a substantive capacity in a pensionable establishment without interruption of duty, may count such service.

Rule 19. Counting of Pre-Retirement Civil Service in the Case of Re-Employed Govt. Servant

If any Government servant, who having retired on compensation pension or invalid pension, is re-employed and appointed to a substantive post, on or before **31.12.2003** to a service or post to which these rules apply and: **(1)** If he draws the pension and retains gratuity sanctioned from his earlier service, former service shall **not** count as qualifying service. **(2)** If a Government servant refunds retirement gratuity, amount of commutation and pension he has drawn, the previous service shall count as qualifying service. **(3)** If a Government servant wants to refund the pension, gratuity and commutation amount and pension he has drawn, he can refund the whole of amount in maximum **thirty-six (36)** installments.

Rule 20. Counting of Military Service Rendered Before Civil Employment

(1) If a Government servant continues to draw the military pension or retain gratuity received on discharge from military service, his former military services shall **not** count as qualifying service. **(2)** If a Government servant refunds retirement gratuity, amount of commutation and pension he has drawn, the previous service shall count as qualifying service. **(3)** Re-employed military pensioners should exercise option under **Rule 19(1)** within **one year** from the date of re-employment. **(4)** Pensionary benefits received for the past service should be refunded with interest from the date of their receipt to the date of refund at the rate applicable on GPF accumulation from time to time.

Rule 21. Counting of Periods Spent on Leave

All leave during service for which leave salary is payable and all extraordinary leave granted on medical certificate shall count as qualifying service. **Extraordinary Leave (EXOL)** other than on medical certificate granted by the appointing authority may allow the period of that leave to count as qualifying service:

1. Due to his inability to join or re-join duty on account of civil commotion.
2. For prosecuting higher scientific and technical studies.

Explanation:

1. In the case of EXOL other than EXOL granted on medical certificate and EXOL allowed to be counted as qualifying service under proviso to this rule, at the time of grant of such leave, a **definite entry** shall be made in the service book of the Government servant to the effect that the period of extraordinary leave shall **not** be treated as qualifying service.
2. Such an entry in the service book, if not made at the time of grant of extraordinary leave, can be made subsequently but not later than **six months** before the date of retirement of the Government servant on superannuation and if no such entry is made in the service book, the period of extraordinary leave shall be treated as qualifying service.

Rule 22. Counting of Periods Spent on Training

(1) In the case of a Government servant who was required to undergo a departmental training before regular appointment to a **Group C** post, the period of such training shall count as qualifying service if he received pay & allowance or stipend. (2) If not covered under sub-rule (1), the Government may, by order, decide whether the time spent by a Government servant under training immediately before appointment to service under that Government shall count as qualifying service. (3) Where time spent by a Government servant under training immediately before appointment to service under that Government is counted as qualifying service, interruption due to the training and regular appointment being at different stations, not exceeding the **joining time** permissible under the rules of transfer, shall be counted as qualifying service. (4) Where the period of interruption is in excess of joining time due to administrative reasons, such period of interruption in excess of joining time shall be regularized by grant of leave of the kind due or, if no such leave is due, by grant of EXOL by the Head of Department and the period of interruption regularized by grant of EXOL leave shall be counted as qualifying service.

Rule 23. Counting of Periods of Suspension

(1) Time passed by a Government servant under suspension pending inquiry into conduct shall count as qualifying service where, on conclusion of such inquiry, he has been fully exonerated or the suspension is held to be wholly unjustified. (2) In cases not covered under sub-rule (1), the period of suspension shall **not** count as qualifying service unless the authority competent to pass orders as the Competent Authority may declare. (3) In all cases of suspension, the competent authority shall pass an order specifying that, if any, the period of suspension shall count as qualifying service and a **definite entry** shall be made in the service book of the Government servant in this regard.

Note: Suspension should be held wholly unjustified when the proceedings end with a **minor penalty**.

Rule 24. Forfeiture of Service on Dismissal or Removal

Dismissal or removal of a Government servant from a service or post entails forfeiture of his past service.

Rule 25. Counting of Past Service on Reinstatement

(1) A Government servant who is dismissed, removed or compulsorily retired from service, but is reinstated on appeal or review, is entitled to count his past service as qualifying service. (2) The period of interruption in service between the date of dismissal, removal or compulsory retirement, as the case may be, and the date of reinstatement, and the period of suspension, if any, shall **not** count as qualifying service unless regularized as duty or leave by a specific order of the authority which passed the order of reinstatement.

Rule 26. Forfeiture of Service on Resignation

(1) Resignation from a service or a post, unless it is allowed to be withdrawn in the public interest by the appointing authority, entails forfeiture of past service. (2) A resignation shall **not** entail forfeiture of past service if it has been submitted to take up, with proper permission, another appointment, whether temporary or permanent, under the Government where service qualifies. (3) If a Government servant wants to withdraw his resignation, he can submit an application within **90 days** from the acceptance of

resignation, provided that the post, which was vacated by the Government servant on the acceptance of his resignation or any other comparable post, is available. (4) When an order is passed by the appointing authority allowing a person to withdraw his resignation and to resume duty, the order shall be deemed to include the condonation of interruption in service but the period of interruption shall **not** count as qualifying service.

Benefits of Technical Resignation:

- (a) The benefits of past service.
- (b) Fixation of pay.

Rule 27. Effect of Interruption in Service

(1) An interruption in the service of a Government servant entails forfeiture of his past service, except in the following cases, namely:

- (a) Authorized leave of absence.
- (b) Unauthorized absence in continuation of authorized leave of absence so long as the post of absentee is not filled substantively.
- (c) Suspension, where it is immediately followed by reinstatement.
- (d) Joining time while on transfer from one post to another.

(2) Notwithstanding anything contained in sub-rule (1), the appointing authority may, by order, commute retrospectively the periods of absence without leave as extraordinary leave.

Rule 28. Condonation of Interruption in Service

(1) In the absence of a specific indication in the service book, an interruption between two spells of civil service rendered by a Government servant under Government shall be treated as automatically condoned and the pre-interruption service treated as qualifying service. (2) The interruption caused by resignation, dismissal or removal from service or for participation in a strike, shall **not** apply under sub-rule (1). (3) The period of interruption shall **not** count as qualifying service. (4) The appointing authority may consider condonation of interruption in service and to treat the pre-interruption service as qualifying service. (5) The appointing authority may take a decision not to condone interruption in service only in **exceptional and grave circumstances**.

Rule 29. Deputation to United Nations and Other Organizations

A Government servant who is deputed on foreign service to the UN Secretariat or other UN bodies and other organizations, may opt: **(1)** To pay the pension contributions in respect of his foreign service and count such service as qualifying for pension under these rules. **(2) Not** to pay the pension contributions in respect of his foreign service and **not** count such service as qualifying for pension under these rules.

Rule 30. Verification of Qualifying Service

(1) On a Government servant completing **18 years** of service or on his being left with **5 years** of service before the date of retirement, whichever is earlier. **(2)** The verification done under this rule shall be treated as final and shall not be reopened except when necessitated by a subsequent change in the rules. **(3)** By **31st January** of each year, a report shall be submitted to the Secretary of the Administrative Ministry or Department giving the details of the Government servants who were required to be issued a certificate of qualifying service during the previous calendar year.

Chapter IV: Emoluments and Average Emoluments

(Rules 31 to 32)

Rule 31. Emoluments

(1) "Emoluments" means **Basic Pay** as defined in **Rule 9(21)(a)(i)** of the Fundamental Rules, which a Government servant was receiving immediately before his retirement or on the date of his death, and will also include **Non-Practicing Allowance (NPA)** granted to a medical officer in lieu of private practice.

Government of India's Decisions:

- **(a) Stagnation increment** shall be treated as emoluments for the calculation of retirement benefits.
- **(b) Grant of Notional increment** on **1st July / 1st January** to the employees who are retired from Central Government service on **30th June / 31st December**

respectively, shall be reckoned only for the purpose of calculating the pension admissible and **not** for the purpose of calculation of other pensionary benefits.

(2) Where a Government servant immediately before his retirement or death while in service had been absent from duty on extraordinary leave or had been under suspension, the period whereof does not count as service, the emoluments which he drew immediately before proceeding on such leave or being placed under suspension shall form part of his emoluments. (3) Where a Government servant immediately before his retirement or death while in service, was on leave, and earned an increment, though not actually drawn, shall form part of his emoluments. (4) Where a Government servant dies during the currency of a penalty which has the effect of reducing his pay only during the currency of that penalty and on expiry of which he would have regained the pay admissible to him without any impact of the said penalty, the **notional pay** on the date of death ignoring the effect of such penalty shall be treated as emoluments. (5) **Dearness Allowance (D.A.)** shall be treated as "emoluments" for all types of **gratuities**.

Rule 32. Average Emoluments

(1) Average emoluments shall be determined with reference to the emoluments drawn by a Government servant during the last **10 months** of his service. (2) **Determination of the period of ten months for Average Emoluments:**

Period	Year	Months	Days
17-9-2018 to 30-9-2018	0	0	14
1-10-2018 to 30-6-2019	0	9	0
1-7-2019 to 16-7-2019	0	0	16

Illustration: A Government servant retires on **16th July, 2019**. The last ten months comprise nine full months and fractions of **14 days** of September, 2018 and **16 days** of July, 2019. The emoluments for fractional periods shall be computed by multiplying the emolument by the factor **14/30** and **16/30** irrespective of the number of days in the month. This formula shall also apply in the case of the month of **February**, irrespective of whether the month has 28 days or 29 days.

Chapter V: Classes of Pensions and Conditions Governing Their Grant

(Rules 33 to 41)

Rule 33. Superannuation Pension or Service Gratuity

(1) A superannuation pension shall be granted to a Government servant who is retired on his attaining the age of compulsory retirement. (2) If a Government servant rendered service **not less than 5 years and not exceeding 10 years**, service gratuity shall be granted to the Government servant on superannuation. (3) Retirement is effective on the afternoon of the **last day of the month** in which superannuation falls if the date of birth of the Government servant is the **second day or more** of the month.

- **Exception:** If any Government servant's Date of Birth is the **1st day of the month**, he will be retired on the **last working day of the previous month**.

Rule 34. Retiring Pension

(1) A retiring pension or retiring service gratuity, as the case may be, shall be granted in accordance with **Rule 44**, to a Government servant who retires, or is retired, in advance of the age of compulsory retirement in accordance with the provisions of **Rule 42** and **Rule 43** of these rules and **FR 56**. (2) A Government servant who, on being declared surplus, opts for **Voluntary Retirement Scheme (VRS)** with the provisions.

Rule 35. Pension on Absorption in or under a State Government

(1) A Government servant, who has been permitted to be absorbed in a service or post in or under a State Government, shall be deemed to have retired from service under the Central Government from the date of such absorption. (2) He shall be eligible, on such absorption, to receive pension or service gratuity, as the case may be, and retirement gratuity on the basis of the qualifying service and emoluments on the date of absorption.

Rule 36. Pension on Absorption in or under a Corporation, Company or Body

(1) A Government servant who has been permitted to be absorbed in a service or post in or under a Corporation or Company, shall be deemed to have retired from service from the date of such absorption. (2) He shall be eligible, on such absorption, to receive pension or service gratuity, as the case may be, and retirement gratuity on the basis of the qualifying service and emoluments on the date of absorption.

Rule 37. Conditions for Payment of Pension on Absorption Consequent upon Conversion of a Government Department into a PSU

(1) On conversion of a department of the Central Government into a Public Sector Undertaking (PSU), all Government servants of that Department shall be transferred **en-masse** to that PSU, on **deemed deputation** on terms of foreign service without any deputation allowance till such time as they get absorbed in the said sector. (2) The PSU shall frame its rules and regulations within a time frame not exceeding **5 years**. (3) All Government servants on deemed deputation shall be asked, within a period not exceeding **3 months** from the date of notification of the rules and regulations by the PSU, to exercise their option to revert back to the Government or to seek permanent absorption in the PSU. (4) In case a Government servant does not exercise any option within the prescribed time limit, he shall be deemed to have opted for **permanent absorption** in the PSU. (5) The employees who opt to revert to Government service shall be repatriated to the Government within **2 years** from the date of exercise of the option and shall be redeployed through the surplus cell of the Government. (6) The period between the date of option and the date of reversion to the Government shall continue to be on deemed deputation on terms of foreign service without any deputation allowance. (7) The pensionary benefits in respect of such employees shall be drawn and paid in the manner to be specified by the administrative Ministry of the PSU.

Rule 38. Conditions for Payment of Pension on Absorption Consequent upon Conversion of a Government Department into a Central Autonomous Body

All provisions are the **same as Rule 37**.

Rule 39. Invalid Pension

(1) **Case of Disability covered under Rights of Persons with Disabilities Act, 2016:** In the case of a Government servant acquiring a disability where the provisions of **Section 20 of the Rights of Persons with Disabilities Act, 2016 (49 of 2016)** are applicable, such government employee shall produce a disability certificate from the Competent Authority as prescribed under the provisions.

(2) **Case where Rights of Persons with Disabilities Act, 2016 is NOT applicable:** If a Government servant, in a case where the provisions of Section 20 of the Rights of Persons

with Disabilities Act, 2016 are **not** applicable, intends to retire from the service on account of any bodily or mental infirmity which permanently incapacitates him for the service, he may apply to the Head of Department for retirement on Invalid Pension.

(3) Invalid Pension for Service Less than 10 Years: A Government servant, who retires from service even before completing qualifying service of **10 years**, shall also be granted invalid pension at the rate of **50% of emoluments or average emoluments**, whichever is more beneficial to him.

Rule 40. Compulsory Retirement Pension

(1) A Government servant compulsorily retired from service as a penalty measure may be granted pension or gratuity or both at a rate **not less than two-thirds** and **not more than full** superannuation pension. **(2)** The order regarding the quantum of pension and gratuity to be granted under sub-rule (1) may be issued simultaneous with the order of imposition of penalty of compulsory retirement. **(3)** A pension or provisional pension granted or awarded, as the case may be, shall not be less than the amount of **Rs. 9,000/-** per mensem.

Rule 41. Compassionate Allowance

(1) A Government servant who is dismissed or removed from service shall **forfeit** his pension and gratuity. **(2)** The authority competent to dismiss or remove him from service may, if the case is deserving of special consideration, sanction a compassionate allowance **not exceeding two-thirds** of pension or gratuity or both which would have been admissible to him if he had retired on superannuation pension. **(3)** A compassionate allowance sanctioned under the proviso to sub-rule (1) shall not be less than the amount of **Rs. 9,000/-** per mensem.

Chapter VI: Premature Retirement and Voluntary Retirement

(Rules 42 to 43)

Rule 42. Retirement on Completion of 30 Years' Qualifying Service

(1) At any time after a Government servant has completed a qualifying service of **30 years**, he may be required by the appointing authority to retire in the public interest, on a retiring pension. (2) The appointing authority may give a notice in writing to a Government servant at least **3 months** before the date on which he is required to retire in the public interest or **3 months' pay and allowances** in lieu of such notice.

Rule 43. Retirement on Completion of 20 Years' Qualifying Service

(1) At any time after a Government servant has completed **20 years' qualifying service**, he may, by giving notice of **not less than 3 months** in writing to the appointing authority, retire from service on a retiring pension. (2) The notice of voluntary retirement given under this rule shall require acceptance by the appointing authority. (3) Where the appointing authority does not refuse to grant the permission for retirement before the expiry of the period specified in the said notice, the retirement shall become effective from the date of expiry of the said period. (4) The appropriate appointing authority may withhold permission to a Government servant who seeks to retire under this rule in the following circumstances:

- (a) If the Government servant is under **suspension**.
- (b) If a **charge sheet** has been issued and the disciplinary proceedings are pending.
- (c) If **judicial proceedings** on charges which may amount to **grave misconduct** are pending. (5) The request for withdrawal shall be made **not less than 15 days** before the intended date of voluntary retirement.

Chapter VII: Regulation of Amounts of Pension and Gratuity

(Rules 44 to 49)

Rule 44. Amount of Pension

(1) A Government servant, who retires under **Rule 33, 34, 35, 36, 37, 38 or 39**, after completing a qualifying service of **not less than 10 years**, shall become eligible for grant of a pension calculated at **50% of emoluments or average emoluments**, whichever is more beneficial to him, subject to a minimum of **Rs. 9,000/-** per month and maximum of **Rs. 1,25,000/-** per month.

(2) A Government servant, who retires from service even before completing qualifying service of **10 years**, shall also be granted invalid pension and, in his case, the amount of pension shall also be calculated at **50% of emoluments or average emoluments**, whichever is more beneficial to him.

(3) In the case of a Government servant retiring in accordance with the provisions of these rules before completing qualifying service of **10 years**, the amount of service gratuity shall be calculated at the rate of **half month's emoluments** for every completed six-monthly period of qualifying service.

Illustration: If a Government servant rendered service before retirement of **7 years** (14 completed six-month periods) and Emolument (Basic Pay + D.A) = **Rs. 20,000/-**. **Service Gratuity** = $10,000 \times 14 = \text{Rs. } 1,40,000/-$.

(4) In addition to pension admissible, after completion of **80 years** of age or above, additional pension or Compassionate Allowance shall be payable to the retired Government servant in the following manner:

Age of Pensioner	Additional Pension/Compassionate Allowance
From 80 years to less than 85 years	20% of basic pension
From 85 years to less than 90 years	30% of basic pension
From 90 years to less than 95 years	40% of basic pension
From 95 years to less than 100 years	50% of basic pension
100 years or more	100% of basic pension

Note: The Additional quantum of pension/family pension or Compassionate Allowance, on attaining the age of **80 years** and above, would be admissible from the **1st day of the month** in which his date of birth falls.

(5) Calculation of Half Year:

- Less than 3 months = **Nil**.
- Equal to 3 months and less than 9 months = **1 completed six months**.
- Equal to 9 months and above = **2 completed six months**.

(6) In case of a Govt. servant who has rendered a qualifying service of **9 years and 9 months** or more but less than **10 years**, his qualifying service for the purpose shall be **10 years** and he will be eligible for pension in accordance with sub-rule (1).

(7) All benefits of retirement will be rounded off to the **next higher rupee**.

Rule 45. Retirement and Death Gratuity

(1) Retirement Gratuity: A Government servant, who has completed **5 years'** qualifying service and has become eligible for service gratuity or pension under **Rule 44**, shall, on his retirement, be granted retirement gratuity equal to **one-fourth (1/4)** of his emoluments for each completed six-monthly period of qualifying service, subject to a maximum of **16½ times** the emoluments.

(2) Death Gratuity: If a Govt. servant dies while in service, the death gratuity to be paid to his family is as per the table below:

Length of Qualifying Service	Rate of Death Gratuity
Less than 1 year	2 times of emoluments
1 year or more but less than 5 years	6 times of emoluments
5 years or more but less than 11 years	12 times of emoluments
11 years or more but less than 20 years	20 times of emoluments
20 years and more	Half month's emoluments for every completed six-monthly period of qualifying service subject to a maximum of 33 times of emoluments.

(3) Residuary Gratuity: If a Government servant, who has become eligible for a service gratuity or pension, dies within **5 years** from the date of his retirement from service (including compulsory retirement as a penalty) and the sums actually received by him at the time of his death on account of such gratuity or pension (including ad hoc increase) together with the retirement gratuity admissible under sub-rule (1) and the commuted value of any portion of pension are less than the amount equal to **12 times** of his emoluments, a residuary gratuity equal to the deficiency may be granted to his family.

(4) Calculation Illustration:

- **Emoluments:** Rs. 70,000/-
- **Total Sum Received:** Rs. 8,10,000/- (Retirement Gratuity + Commutation + Pension Drawn).
- **12 Months Emoluments:** $70,000 \times 12 = \text{Rs. } 8,40,000/-$
- **Residuary Gratuity:** $8,40,000 - 8,10,000 = \text{Rs. } 30,000/-$.

(5) Maximum Limit of Gratuity: The amount of retirement gratuity or death gratuity payable under this rule shall in no case exceed Rs. 25,00,000/- (Twenty-Five Lakhs).

 **LEGISLATIVE NOTE:** The maximum limit of Retirement Gratuity and Death Gratuity was enhanced from Rs. 20 Lakhs to **Rs. 25 Lakhs** effective from **1st January 2024**, consequent upon Dearness Allowance reaching 50%. (Vide OM No. 38/37/2016-P&PW(A) dated 30.05.2024).

(6) A temporary Government servant with less than **10 years'** service who retires on superannuation or is discharged from service is eligible for gratuity as for a permanent Government servant.

(7) Definition of Family: For the purpose of **Rules 46, 47, 48 and 49**, "family" in relation to a Govt. servant means:

- (i) **Wife or wives** including judicially separated wife or wives in the case of a male Government servant.
- (ii) **Husband**, including judicially separated husband in the case of a female Government servant.
- (iii) **Sons** including stepsons and adopted sons.

- (iv) **Unmarried daughters** including stepdaughters and adopted daughters.
- (v) **Widowed daughters** including stepdaughters and adopted daughters.
- (vi) **Father** including adoptive parents in the case of individuals whose personal law permits adoption.
- (vii) **Mother** including adoptive parents in the case of individuals whose personal law permits adoption.
- (viii) **Brothers** including stepbrothers who are suffering from any disorder or disability of mind including the mentally retarded or physically crippled or disabled without any limit of age and brothers, including stepbrothers, below the age of **18 years**, in other cases.
- (ix) **Unmarried sisters** and **widowed sisters** including stepsisters.
- (x) **Married daughters**.
- (xi) **Children of a pre-deceased son**.

Rule 46. Nomination

(1) A Govt. Servant shall, on his initial confirmation in a service or post, make a nomination in **Form-3**, conferring on one or more persons the right to receive the retirement gratuity/death gratuity payable under **Rule 45**. (2) If the Government servant has a family, the nomination shall **not** be in favor of any person or persons other than the members of his family. (3) If the Govt. Servant has **no family**, the nomination may be made in favor of a person or persons, or a body of individuals, whether incorporated or not. (4) A nomination made by a Government servant who has no family shall become invalid in the event of the Government servant subsequently acquiring a family. (5) A Government servant may, at any time, cancel a nomination by sending a notice in writing to the Head of Office. (6) Nomination made by an unmarried Government servant in favor of any member of his family shall **not** become invalid on his or her marriage, unless the Government servant cancels the earlier nomination and files a fresh nomination.

Rule 47. Persons to Whom Gratuity is Payable

(1) The gratuity payable under **Rule 45** shall be paid to the person or persons on whom the right to receive the gratuity is conferred by means of a nomination under **Rule 46**. (2) If no nomination is made or the nomination made does not subsist, the gratuity shall be paid to all members of the family in **equal shares** as per the provisions of sub-rule (6) of Rule 45. (3) **Minor's Share:**

- The payment of a minor's share of gratuity shall be made to the **natural guardian** of the minor, if any.
- In the absence of a natural guardian, payment shall be made to the person who furnishes a **certificate of guardianship**.
- In the absence of a natural guardian, payment of an amount **not exceeding 20%** of the minor's share may be made to a guardian without a guardianship certificate on the production of an **Indemnity Bond in Form 7**. If the share exceeds 20%, it may be paid on the production of a certificate of guardianship.

Rule 48. Debarring a Person from Receiving Gratuity

If a person, eligible to receive gratuity in the event of the death of a Government servant, is charged with the offence of **murdering the Government servant** or for abetting the commission of such an offence, his claim to receive his share of gratuity shall remain **suspended** till the conclusion of the criminal proceedings instituted against him.

Rule 49. Lapse of Retirement and Death Gratuity

(1) Where a government servant dies while in service or after retirement without receiving the amount of gratuity and leaves behind **no family** and:

- (a) Has made no nomination, or
- (b) The nomination made by him does not subsist, The amount of retirement gratuity/death gratuity shall **lapse to the Government**.

(2) **Proviso:** The amount shall be payable to the person in whose favor a **Succession Certificate** in respect of the gratuity in question has been granted by a Court of Law.

Chapter VIII: Family Pension

(Rules 50 to 51)

Rule 50. Family Pension

(1) **Eligibility:** Family pension is admissible where a Govt. servant dies:

- (a) After completion of **one year** of continuous service.
- (b) Before completion of one year of continuous service, provided the deceased Government servant was examined by the appropriate medical authority and declared **fit** for Government service immediately prior to his appointment.
- (c) After retirement from service and was, on the date of death, in receipt of a pension or compassionate allowance.

(2) **Rates of Family Pension:**

- **Normal Rate:** The family pension shall be determined at a uniform rate of **30% of Basic Pay** subject to a minimum of **Rs. 9,000/-** per month and a maximum of **Rs. 75,000/-** per month.
- **Enhanced Rate (Death in Service):** Where a government servant dies while in service, the rate of family pension shall be **50% of the pay last drawn** and payable for a period of **10 years**.
- **Enhanced Rate (Death after Retirement):** In the event of death after retirement, the family pension shall be payable at the enhanced rate for a period of **7 years**, or up to the date on which the retired deceased Government servant would have attained the age of **67 years**, whichever is less.
- **Maximum Limit (Enhanced):** The amount of family pension at the enhanced rate shall be subject to a maximum of **Rs. 1,25,000/-** per month.

(3) **Additional Family Pension (Age 80+):** In addition to family pension admissible, after completion of **80 years** of age or above, additional family pension shall be payable:

Age of Family Pensioner	Additional Pension
From 80 years to less than 85 years	20% of basic pension
From 85 years to less than 90 years	30% of basic pension

From 90 years to less than 95 years	40% of basic pension
From 95 years to less than 100 years	50% of basic pension
100 years or more	100% of basic pension

(4) Order of Priority for Family Pension: The family pension shall be payable to the members of the family in the following order:

Priority	Beneficiary	Conditions of Payment
1.	Widow or Widower (including post-retiral spouse and judicially separated wife/husband)	1) Payable up to the date of death or re-marriage , whichever is earlier. 2) Childless Widow: On re-marriage, family pension continues if her income from all other sources is less than the minimum family pension. 3) More than one widow: Paid in equal shares. 4) Judicially separated spouse: Eligible after children cease to be eligible.
2.	Children (including adopted, step, and children born after retirement)	1) Son: Unmarried, below 25 years , and not earning his livelihood. 2) Unmarried Daughter: Payable beyond 25 years till marriage or earning livelihood (paid only after all other eligible members). 3) Widowed/Divorced/Abandoned Daughter: Payable for life or until remarriage/earning livelihood.
3.	Disabled Children (Mental or Physical Disability)	Payable for life (even after age 25) if not earning livelihood. <i>Note:</i> Among children, the elder child is entitled first until age 25/marriage/earning, then the younger child.
4.	Dependent Parents	Payable to the mother first, failing which to the father . (Must be dependent).

5.	Dependent (Brother/Sister from disability)	Siblings suffering	Eligible for life if disability existed before the death of the Govt. servant and overall income is less than the entitled family pension.
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(5) Twin Children: Where the family pension is payable to twin children, it shall be paid to such children in **equal shares** irrespective of their sex.

(6) Both Spouses as Govt. Servants: If both wife and husband are Government servants, and one dies, the family pension is payable to the surviving spouse. In the event of the death of the surviving spouse, the child/children shall be granted **two family pensions**.

- **Limit:** The amount of both family pensions shall be limited to **Rs. 1,25,000/-** per month (Enhanced rate) or Rs. 75,000/- per month (Normal rate).

Rule 51. Entitlements of Family of a Missing Government Servant or Pensioner

(1) In the case of a pensioner who goes missing, family pension shall be payable to an eligible member of the family. **(2)** The family pension shall be payable from the date following the date up to which pension has been paid to the missing pensioner or from the date on which a report was lodged with the Police (FIR), whichever is later. **(3)** The payment of family pension and gratuity shall **not** be made before the expiry of a period of **6 months** from the date of lodging the report with the Police Station. **(4)** If payment is delayed due to administrative lapses, **interest** shall be payable for the period of delay beyond 6 months. **(5) Death Gratuity:** In the case of a Government servant who goes missing, death gratuity shall become payable after the death is conclusively established or on the expiry of a period of **7 years** from the date of lodging the report with the police, whichever is earlier.

Chapter IX: Dearness Relief

Rule 52. Dearness Relief on Pension and Family Pension

Dearness Relief may be granted to the pensioners, including the persons drawing compassionate allowance and family pensioners, in the form of dearness relief at such rates and subject to such conditions as the Central Government may specify from time to time.

Chapter X: Determination and Authorization of the Amounts of Pension and Gratuity

(Rules 53 to 70)

Rule 53. Processing of Pension Cases in the Online Pension Sanctioning System

(1) The pension case of a Government servant shall be processed through "Bhavishya" unless exempted by special or general order. (2) In the case of a department or office or person exempted from the purview of "Bhavishya", the details or documents in respect of the person due to retire shall be transmitted in physical mode and his pension case shall be processed manually. (3) In a case or cases where a particular action or activity cannot be performed under "Bhavishya", such action or activity shall be performed manually.

Rule 54. Preparation of List of Government Servants Due for Retirement

(1) Every Head of Department shall have a list prepared by the **15th day of every month**, of all Government servants who are due to retire within the next **15 months** of that date. (2) A copy of every such list shall be supplied to the Accounts Officer concerned before the **last day of every month**. (3) In the cases of a Government servant retiring for reasons other than by way of superannuation, the Head of Office shall inform the Accounts Officer concerned not later than **10 days** from the date of issue of the order regarding the retirement of the Government servant.

Rule 55. Intimation to the Directorate of Estates Regarding Issue of "No Demand Certificate"

Immediately after preparing the list of Government servants due to retire within the next **15 months**, the Head of Office shall obtain from each such Government servant, who was or is in occupation of a Government accommodation, details and shall send these details to the Directorate of Estates, at least **one year** before the date of retirement for issuing a 'No Demand Certificate' in respect of the period preceding **8 months** of the retirement of the allottee.

Rule 56. Preparation of Pension Papers

Every Head of Office shall undertake the preparatory work for processing of the pension case **one year** before the date of superannuation, or on the date on which he proceeds on leave preparatory to retirement, whichever is earlier.

Rule 57. Stages for the Completion of Pension Papers on Superannuation

The Head of Office shall divide the period of preparatory work of **one year** referred to in **Rule 56** into the following three stages, namely:

(1) First Stage - Verification of Service:

- The Head of Office shall go through the service book of the Government servant and satisfy himself as to whether the certificates of verification for the service subsequent to the service verified under **Rule 30** are recorded therein.
- In respect of the unverified portion or portions of service, he shall verify the portion or portions of such service, as the case may be, based on pay bills, acquittance rolls, or other relevant records, such as the last pay certificate and pay slip for the month of **April**, and record necessary certificates in the service book.

(2) Second Stage - Making Good Omissions in the Service Book:

- The Head of Office, while scrutinizing the certificates of verification of service, shall also identify if there are any other omissions, imperfections, or deficiencies which have a direct bearing on the determination of emoluments and the service qualifying for pension.

- For the purpose of calculation of emoluments and average emoluments, the Head of Office shall verify from the service book the correctness of the emoluments drawn or to be drawn during the last **10 months** of service.

(3) Third Stage: As soon as the second stage is completed, but not later than **8 months** prior to the date of retirement of the Government servant, the Head of Office shall:

- **(I)** Furnish to the retiring Government servant a certificate regarding the length of qualifying service proposed to be admitted for the purpose of pension and gratuity and also the emoluments and the average emoluments proposed to be reckoned for retirement gratuity and pension.
- **(II)** Direct the retiring Government servant to furnish to the Head of Office the reasons for non-acceptance, supported by the relevant documents in support of his claim within **2 months** if the certified service and emoluments as indicated by the Head of Office are not acceptable to him.
- **(III)** Advise the retiring Government Servant to submit **Form 4** and **Form 6** along with an undertaking to the Bank in **Format 9**, a common nomination form for arrears of pension and commuted value of pension in **Form A** (appended to the Payment of Arrears of Pension (Nomination) Rules, 1983), and an option form for availing **Fixed Medical Allowance (FMA)** or out-patient medical facility provided by the Government, not later than **6 months** prior to his date of retirement.

(4) Where the Head of Office is satisfied that the Government servant is not in a position to submit the forms on account of any bodily or mental infirmity, the Head of Office may allow the spouse of the Government servant or, in the absence of the spouse, the member of the family eligible to receive family pension on death of the Government servant, to submit **Form 4** and **Form 6**. **(5)** Where the said forms are submitted by the spouse or any other member of the family, the Government servant shall **not** be entitled to the benefit of commutation of a percentage of pension until he himself subsequently applies for such commutation in accordance with the **CCS (Commutation of Pension) Rules, 1981**.

Rule 58. Submission of Forms by Government Servant Retiring for Reasons Other Than Superannuation

(1) A Government servant retiring for reasons other than superannuation may submit **Form 4** and **Form 6** along with an undertaking to the Bank in **Format 9**, a common nomination form for arrears of pension and commuted value of pension, and an option

form for availing FMA or out-patient medical facility, before such retirement but after the competent authority has approved such retirement or the retirement has become effective. (2) Provisions for submission by spouse/family in case of infirmity apply as per Rule 57(4).

Rule 59. Completion of Pension Case

(1) In cases of superannuation, the Head of Office shall complete **Part I of Form 7** along with the checklist and the pension calculation sheet not later than **4 months** before the date of retirement of a Government servant. (2) In cases other than superannuation, the Head of Office shall complete **Part I of Form 7** along with the checklist and the pension calculation sheet within **2 months** after submission of **Form 4** and **Form 6**.

Rule 60. Forwarding of Pension Case to Accounts Officer

(1) After complying with the requirement of Rules, the Head of Office shall forward to the Accounts Officer:

- (a) Copies of **Form 4**, **Form 6**, and an undertaking to the Bank in **Format 9**, signed and submitted by the Government servant.
- (b) Copies of **Form 7** (including the checklist and the pension calculation sheet) and the covering letter in **Format 10**.
- (c) Duly completed and up-to-date service book of the Government servant along with any other documents relied upon for the verification of service. (2) The Head of Office shall retain a copy of each of the Forms for his records. (3) The pension case and the papers shall be forwarded to the Accounts Officer not later than **4 months** before the date of superannuation of a Government servant and in cases other than retirement on superannuation not later than **2 months** after the date of submission of **Form 4** & **Form 6**. (4) A Pension Calculation Sheet is to be given to the Pensioner. (5) The scale of pay of the post last held is to be indicated in all the PPOs.

Rule 61. Intimation to Accounts Officer Regarding Any Event Having Bearing on Pension or Any Government Dues

(1) If, after the pension papers have been forwarded to the Accounts Officer, any event occurs which has a bearing on the amount of pension admissible, the fact shall be

promptly reported to the Accounts Officer by the Head of Office. (2) If, after the particulars of Government dues have been intimated to the Accounts Officer, any additional Government dues come to the notice of the Head of Office, such dues shall be promptly reported to the Accounts Officer.

Rule 62. Provisional Pension for Reasons Other Than Departmental or Judicial Proceedings

(1) Where, in a case of retirement on superannuation, after a government servant or his/her spouse/family has submitted forms, but:

- It is not possible for the Head of Office to forward the pension papers to the Accounts Officer within the period specified.
- The pension papers have been forwarded but returned by the Accounts Officer for eliciting further information. (2) Where the amount of pension and gratuity cannot be determined for reasons other than departmental or judicial proceedings, the Head of Office shall:
 - (a) Issue a letter of sanction addressed to the Government servant endorsing a copy thereof to the Accounts Officer.
 - (b) Authorize **100% of pension** as provisional pension from the date following the date of retirement.
 - (c) Authorize **100% of the gratuity** as provisional gratuity withholding **10%** of gratuity. (3) A sanction for provisional pension shall be issued not later than **10 days** after the date of retirement in case of non-submission of pension cases by the Head of Office, and within **1 month** from the date of submission of forms by the Government servant. (4) The payment of provisional pension shall **not** continue beyond the period of **6 months** from the date of retirement. (5) If the amount of provisional pension disbursed is found to be in excess of the final pension, the Accounts Officer may adjust the excess amount out of gratuity withheld or recover it in installments from future pension. (6) If the amount of provisional gratuity disbursed is more than the amount finally assessed, the retired Government servant shall **not** be required to refund the excess amount actually disbursed to him.

Rule 63. Authorization of Pension and Gratuity by the Accounts Officer

(1) On receipt of the pension case, the Accounts Officer shall apply the requisite checks, complete **Part II of Form 7**, and assess the amount of pension, family pension, and gratuity and issue the **Pension Payment Order (PPO)** not later than **2 months** in advance of the date of the retirement of a Government servant on attaining the age of superannuation. (2) In cases of retirement otherwise than superannuation, the Accounts Officer shall issue the PPO within **45 days** of the date of receipt of pension papers. (3) While applying the requisite checks, the Accounts Officer shall verify the correctness of emoluments only for the period of **24 months** preceding the date of retirement. (4) In the case of a Government servant whose family includes more than one wife who is alive, the Accounts Officer shall indicate in the PPO the name of all the wives with their respective share in the family pension. (5) The Accounts Officer shall also indicate in the PPO the names of the permanently disabled child or children and dependent parents and disabled siblings as family pensioners. (6) In case any departmental or judicial proceedings are pending, a provisional pension as provided in **Rule 8** shall be authorized, and **no gratuity** shall be paid until the issue of final orders. The Head of Office shall forward the copy of final orders along with details in **Form 7-A** not later than **30 days** from the date of issue of the said orders.

Rule 64. Government Servants on Deputation

(1) If on deputation to another **Central Government Department**, family pension and gratuity are authorized by the **borrowing Department**. (2) If on deputation to a **State Government** or while on **foreign service**, family pension and gratuity are authorized by the **parent department** or the **cadre authority**.

Rule 65. Interest on Delayed Payment of Gratuity

(1) Where the payment of pension, family pension, or gratuity has been authorized later than the date when its payment became due, and the delay is attributable to administrative reasons or lapses, **interest** shall be paid at the rate and in the manner as applicable to **GPF (General Provident Fund)** amount. (2) The payment of interest shall be paid within **2 months** from the date on which the payment of interest has been sanctioned by the Secretary or the officer authorized by him. (3) Interest is admissible for

the period beyond **3 months** from the date of issue of the order/retirement up to the date of payment of arrears.

Rule 66. Revision of Pension After Authorization

(1) Pension once authorized after final assessment shall **not** be revised to the disadvantage of the Government servant, unless such revision becomes necessary on account of detection of a **clerical error**. (2) No revision to the disadvantage of the pensioner shall be ordered without the concurrence of the Department of Personnel and Administrative Reforms if the clerical error is detected after a period of **2 years** from the date of authorization. (3) If an excess payment is found, the department may waive off such excess payment in consultation with the Ministry of Finance. (4) If not waived off, the pensioner shall be served a notice to refund the excess within **2 months**. (5) If the Government servant fails to comply, the excess payment shall be adjusted in installments by short payments of pension in the future.

Rule 67. Recovery and Adjustment of Government Dues

(1) It shall be the duty of the Head of Office to ascertain and assess Government dues payable by a Government servant due for retirement. (2) If Government dues are outstanding till the date of retirement, they shall be adjusted against the amount of the **retirement gratuity**. (3) "Government dues" include arrears of license fee, electricity/water/PNG charges, balance of house building/conveyance advances, overpayment of pay/allowances, and income tax arrears.

Rule 68. Adjustment and Recovery of Dues Pertaining to Government Accommodation

(1) In case of retirement on superannuation, the **Directorate of Estates** shall issue a 'No Demand Certificate' and inform the Head of Office within **2 months** if any license fee was recoverable for the period prior to **8 months** of his retirement. (2) In cases other than superannuation, the Directorate of Estates shall inform the Head of Office within **1 month**. (3) If it is not possible to determine the outstanding license fee, the Directorate shall inform the Head of Office that **10% of the gratuity** may be withheld. (4) The Directorate of Estates shall ensure the 'No Demand Certificate' is given within **14 days** from the date of submission of the application after actual vacation.

Rule 69. Adjustment and Recovery of Dues Other Than Dues Pertaining to Government Accommodation

(1) The Head of Office shall take steps to assess the dues **one year** before the date of superannuation. (2) The assessment shall be completed **8 months** prior to retirement (superannuation) or within **30 days** after retirement (other cases). (3) Outstanding dues shall be adjusted against the retirement gratuity.

Rule 70. Date of Retirement to be Notified

When a Government servant retires from service, a notification in the **Official Gazette** (for Gazetted officers) or an **Office Order** (for Non-Gazetted) shall be issued specifying the date of retirement within a **week**, and a copy forwarded immediately to the Accounts Officer.

Chapter XI: Determination and Authorization of Family Pension and Gratuity (Death/Missing while in Service)

(Rules 71 to 78)

Rule 71. Obtaining of Claims for Family Pension and Gratuity

(1) Where the Head of Office receives intimation of death, he shall ascertain if death gratuity or family pension is payable. (2) The Head of Office shall address the eligible member in **Format 12** for making a claim in **Form 10** and submitting an undertaking to the Bank in **Format 9**. (3) **License Fee Waiver:** If the deceased was an allottee of Government accommodation, the outstanding license fee for the period before death shall stand **waived off**. (4) If the family retains accommodation, the license fee for the month of death and the **first 3 months thereafter** shall **not** be recovered. (5) The Head of Office shall **not** wait for a death certificate and shall initiate action on receipt of credible information. (6) **Missing Employee:** Claims shall be accompanied by an undertaking in **Format 9**, an Indemnity Bond in **Format 8**, a copy of the **FIR**, and a police report stating the employee could not be traced.

Rule 72. Verification of Service and Emoluments for Family Pension and Gratuity

(1) The Head of Office shall verify the service book for certificates of verification. (2) Verification of correctness of emoluments shall be confined to a maximum period of **one year** preceding the date of death or disappearance. (3) If the Government servant was on extraordinary leave, emoluments for the one year preceding the leave shall be verified. (4) The process shall be completed within **one month** of the receipt of intimation.

Rule 73. Action to be Taken in Cases Where Service Records are Incomplete

(1) The Head of Office shall verify unverified portions based on pay bills or other records (e.g., April pay slip). (2) If service was rendered in another office, verification shall be done within **one month**. (3) The amount of family pension shall be determined within **one month** of receipt of intimation.

Rule 74. Forwarding the Family Pension Case to the Accounts Officer

(1) On receipt of claims, the Head of Office shall complete **Form 11** and send it to the Accounts Officer with a covering letter in **Format 10**, undertaking in **Format 9**, and the service book. (2) This shall be done not later than **one month** of the receipt of the claim. (3) If any Government due exists, the gratuity withheld shall be limited to **10%**.

Rule 75. Sanction, Drawal, and Disbursement of Provisional Family Pension and Provisional Gratuity

(1) The Head of Office shall draw **provisional family pension** not exceeding the maximum family pension within **15 days** of the receipt of the claim. (2) The provisional family pension shall continue for a period of **6 months**. (3) The final amount of gratuity shall be determined within **3 months**.

Rule 76. Authorization of Final Family Pension and Balance of Gratuity

(1) The Accounts Officer shall apply checks and complete **Section I of Part II of Form 11** within **one month**. (2) Checks on emoluments are confined to the **one year** preceding death. (3) The PPO shall be prepared not later than **one month** of the receipt of the case. (4) **Missing Employee:** Payment of family pension shall be made only after the expiry of **6 months** from the date of lodging the **FIR**. (5) **Provisional Adjustments:**

- Excess provisional family pension: Adjusted from gratuity or future pension.
- Excess provisional gratuity: Beneficiary shall **not** be required to refund.

Rule 77. Adjustment of Government Dues

(1) Outstanding license fee before death is **waived off**. Fee for the month of death + **3 months** is not recovered. (2) Other outstanding dues shall be adjusted against the gratuity withheld.

Rule 78. Payment of Family Pension/Death Gratuity on Deputation

(1) Deputation to Central Govt: Authorized by **Borrowing Department**. (2) Deputation to State/Foreign Service: Authorized by **Parent Department**.

Chapter XII: Sanction of Family Pension and Residuary Gratuity (Deceased/Missing Pensioners)

(Rules 79 to 80)

Rule 79. Sanction of Family Pension and Residuary Gratuity

(1) On receipt of a claim in **Form 10**, the Head of Office shall sanction the family pension in **Format 13**. (2) Payment becomes effective from the date following the date up to which pension was paid, or from the date of the **FIR** (in missing cases). (3) Residuary gratuity is payable if applicable under the rules.

Rule 80. Authorization of Payment by Accounts Officer

The Accounts Officer shall authorize the payment within **one month** from the date of receipt of the sanction.

Chapter XIII: Payment of Pensions

(Rules 81 to 83)

Rule 81. Date From Which Pension Becomes Payable

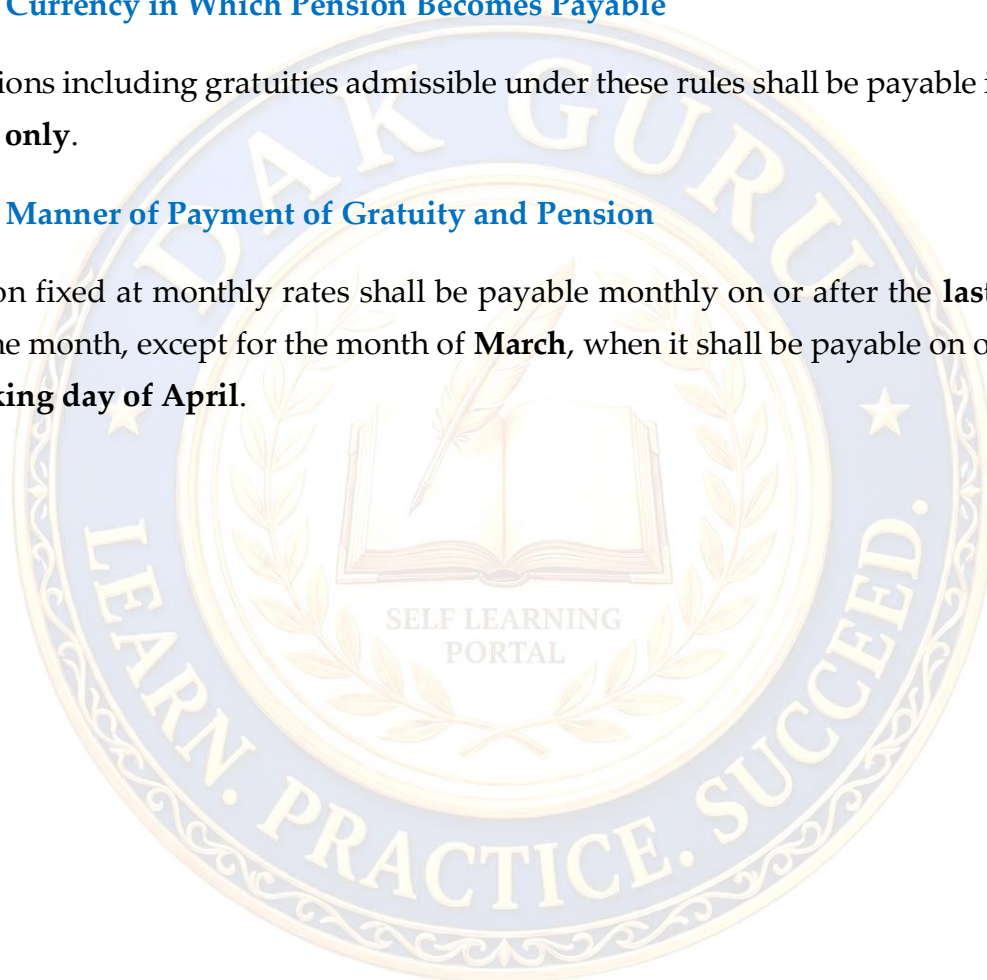
The Government servant shall become eligible for a pension from the **following day** of his retirement.

Rule 82. Currency in Which Pension Becomes Payable

All pensions including gratuities admissible under these rules shall be payable in **Rupees in India only**.

Rule 83. Manner of Payment of Gratuity and Pension

A pension fixed at monthly rates shall be payable monthly on or after the **last working day** of the month, except for the month of **March**, when it shall be payable on or after the **1st working day of April**.



FORMS AND FORMATS

Form No.	Description
Form 1	Application for permission to accept commercial employment within a period of one year after retirement.
Form 3	Common Nomination Form for Gratuity, GPF, and CGEGIS.
Form 4	Details of Family.
Form 6	Particulars of Retired/Retiring Govt. Servant.
Form 7	Form for assessing Pension/Family Pension and Gratuity.
Form 7-A	Provisional Pension in case of judicial or departmental proceeding under Rule 8.
Form 9	Application for the Grant of Gratuity in respect of a deceased/missing Government Servant.
Form 10	Application form to the Head of Office for family pension on death of Govt. servant or Pensioner.
Form 11	Assessment and authorization of payment of family pension and Death Gratuity when a Govt. servant dies or goes missing while in service.
Form 13	Letter sanctioning Family Pension when a Pensioner dies/goes missing or a Family Pensioner dies/ceases to be eligible.
Format 8	Indemnity Bond.
Format 9	Undertaking Form to the Bank.
Format 10	Forwarding letter of pension case.